Specimen termsheet — yield enhancement note

Derivatives 101 teaching document. Generic issuer, illustrative levels, no live trade. Real tickers are used only as familiar reference instruments.

INDICATIVE TERMSHEET

11.00% p.a. Conditional Coupon Barrier Reverse Convertible on Apple Inc

SSPA / EUSIPA classification: Conditional Coupon Barrier Reverse Convertible (1260) 1

Continuous barrier observation (80%) · Physical settlement · Quarterly conditional coupon with memory · Quarterly autocallable (trigger 100%)

Offered only to professional and institutional clients. 2

Indicative terms, subject to change until the Initial Fixing Date. Advertising material — not a prospectus and not a key information document. Not a collective investment scheme, and therefore not subject to authorisation by the financial market supervisor. Investors are exposed to the credit risk of the Issuer.

Terms

Issuer	**[Issuing bank]**	Issue Currency	**USD**
Security number / ISIN	**not allocated — specimen**	Coupon	**11.00% p.a., conditional** 4
Issue Size	**USD 5,000,000** 3	Coupon per period	**2.75%**
Denomination	**USD 1,000**	Maximum Yield	**11.00%**
Issue Price	**100.00% per Product**	Tenor	**12 months**

Initial Fixing Date 5	**15 January 2027 — the Initial Level, Strike, Barrier, Trigger Barrier, Payout Threshold and Ratio are fixed**
Issue / Payment Date	**29 January 2027 — the Products are issued and the Issue Price is paid**
Final Fixing Date	**14 January 2028 — the Final Level is fixed**
Final Redemption Date	**28 January 2028 — unless previously redeemed, repurchased or cancelled**

Underlying

Apple Inc (AAPL UW <EQUITY>)

Initial Level 6	**USD 320.00**	Trigger Barrier	**USD 320.00 (100%)**
Strike	**USD 320.00 (100%)**	Payout Threshold	**USD 192.00 (60%)**
Barrier 7	**USD 256.00 (80%)**	Ratio 8	**3.1250**

Valuation Time	**Scheduled Closing Time**
Underlying ISIN / Valor	**not shown — specimen / not shown — specimen**

Redemption

Final Redemption Amount

(i) if the Final Level is at or above the Strike, a cash amount equal to 100% of the Denomination; or
(ii) if the Final Level is below the Strike, and
(a) no Barrier Event has occurred, a cash amount equal to 100% of the Denomination; or
(b) a Barrier Event has occurred, the number of Underlyings specified in the Ratio.

What to look at, and why

1. **Read the classification line first.** The code tells you the family, and therefore what can go wrong. 1260 means a conditional coupon *and* a barrier. Drop the barrier and it becomes 1255; make the coupon unconditional and it becomes 1230.
2. **The distribution restriction is not boilerplate.** It decides who may be sold this, and it is the reason the same payoff appears in different wrappers in different markets.
3. **Denomination is the unit; Issue Size is the deal.** Payoffs are always expressed per Denomination, never per Issue Size.
4. **Coupon and Maximum Yield are different numbers.** The coupon is annualised. On short tenors the two diverge violently — always read the second one.
5. **Four dates, all different.** The trade is struck on the Initial Fixing Date but the money moves on the Issue Date, often two weeks later. Between them the client is exposed with nothing settled.
6. **Every level is quoted twice** — absolute, and as a percentage of the Initial Level. The percentage is the one that means something.
7. **Three levels, three different jobs.** The Barrier decides principal. The Trigger Barrier decides early redemption. The Payout Threshold decides the coupon. They are set independently and can sit in any order.
8. **Ratio = Denomination ÷ Strike.** This is the share count delivered on physical settlement, and it is fixed on day one.
9. **Continuous observation is the harsh one.** A single intraday print through the Barrier is enough. Compare with a barrier observed only on the Final Fixing Date — same number, very different product.
10. **The autocall lives in its own section** with its own barrier, its own observation dates and its own redemption price. Expect a table of dates rather than a single one.
11. **The memory feature is called a Payout Postponement Event.** The coupon is not lost, it is postponed, and the unpaid amount is added to the next Payout Amount that does pay.
12. **Rounding is contractual.** Share counts round down to whole shares and the fraction is paid in cash. Somebody has to implement that.

	Share counts are rounded down to the nearest whole Underlying; the fraction is paid in cash at the Final Level. [12]
Barrier Event [9]	If the Level at any time, observed continuously, on any Barrier Observation Date is at or below the Barrier.
Barrier Observation Period	From and including the Initial Fixing Date to and including the Final Fixing Date.
Settlement Type	Physical settlement or cash settlement

Early redemption [10]

Trigger Event	If the Level at the Valuation Time on any Trigger Observation Date is at or above the Trigger Barrier.
Trigger Redemption Price	100% of the Denomination
Trigger Observation Dates	14 April 2027 · 14 July 2027 · 14 October 2027

Payout

Payout Amount	2.75% of the Denomination per Payout Date, plus any Payout Amount that would have been paid on an earlier Payout Date but for a Payout Postponement Event. [11]
Payout Postponement Event	If the Level at the Valuation Time on the relevant Payout Observation Date is below the Payout Threshold.
Payout Dates	14 April 2027 · 14 July 2027 · 14 October 2027 · 28 January 2028

Risk sections follow in the full document. Issuer credit risk, market risk, liquidity and secondary market, adjustment and early termination events, conflicts of interest, and the tax treatment. They come last and matter first — read backwards on the second pass.